

Inventory Management Standard Operating Procedure

SYNTHETIC DEMO DOCUMENT — AI Supply Chain Copilot Portfolio Project

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1. Objective

This SOP defines the synthetic enterprise process for monitoring inventory availability, low-stock exposure, replenishment priorities, and inventory exceptions across warehouses.

2. Daily Inventory Review

Planners review on-hand inventory, open supply, demand, reorder parameters, and material exceptions. Items below their defined reorder point are prioritized based on demand urgency, supplier lead time, criticality, and inbound supply status.

3. Low-Stock Response

For low-stock items, planners should first validate inventory accuracy and open purchase orders. They should then assess expected demand through the replenishment horizon and determine whether standard replenishment is sufficient.

When projected supply is insufficient, planners may expedite open orders, rebalance inventory between warehouses, adjust replenishment quantities, or request procurement support for alternate supply.

4. Safety Stock and Risk

Temporary safety-stock increases may be considered when a supplier has unstable delivery performance or unusually long lead times. Such increases should be reviewed periodically to avoid unnecessary working-capital exposure.

End of synthetic demo document.